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Sandra Richardson

S E C R E T

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11 March 1946

Pages 4 - 6, incl.

STATE-WAR-NAVY COORDINATING COMMITTEE

SOVEREIGNTY OF FORMOSA
Reference: SWNCC 272/D

Note by the Secretaries

The enclosure, a report on the above subject by the State-War-Navy Coordinating Subcommittee for the Far East, is circulated for consideration by the Committee.

ALEXANDER D. REID
B. L. AUSTIN
RAYMOND E. COX
Secretariat

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ENCLOSURE

SOVEREIGNTY OF FORMOSA

Memorandum by the
State-War-Navy Coordinating Subcommittee for the Far East

1. The State-War-Navy Coordinating Subcommittee for the Far East has considered the cable from the Commanding General, U. S. Forces, China Theater, presented in SWNCC 272/D, and recommends that the following action be taken:

a. Upon approval by the SWNCC of the cable in the Appendix, the cable be forwarded to the JCS for transmittal to the Commanding General, U. S. Forces, China Theater, subject to their comments from a military point of view;

b. Upon notification by the JCS that the cable in the Appendix has been dispatched to the Commanding General, U. S. Forces, China Theater, the cable be forwarded by SWNCC to the State Department for appropriate action.

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APPENDIX

DRAFT MESSAGE TO CG, U.S. FORCES, CHINA THEATER, SHANGHAI, CHINA
(Reference: CFBX 23362)

1. a. The Cairo Declaration of December 1, 1943, provides that "Formosa .... shall be restored to the Republic of China".

b. The Potsdam Declaration of July 26, 1945, provides in paragraph 8:

> "The terms of the Cairo Declaration shall be carried out and Japanese sovereignty shall be limited to the islands of Honshu, Hokkaido, Kyushu, Shikoku, and such minor islands as we determine".

c. The first paragraph of the Instrument of Surrender of September 2, 1945, reads:

> "We, acting by command of and in behalf of the Emperor of Japan, the Japanese Government, and the Japanese Imperial General Headquarters, hereby accept the provisions set forth in the declaration issued by the heads of the Governments of the United States, China and Great Britain on 26 July 1945, at Potsdam, and subsequently adhered to by the Union of Soviet Socialist Republics, which four powers are hereafter referred to as the Allied Powers."

d. In view of the foregoing, it would appear that Japan has lost sovereignty over Formosa.

e. By virtue of the assumption and exercise of governmental authority by the Republic of China in Formosa pursuant to the Cairo Declaration and the signature of the representatives of the governments of China and Japan, the State Department considers that Formosa has been restored to the Republic of China but that this transfer may eventually have to be formalized by appropriate treaty arrangements.

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2. The position of the United States in regard to Japanese assets located in Chinese territory formerly occupied by the Japanese was communicated to the American Embassy at Chungking in a telegram dated September 25, 1945. It was stated that, provided provision is made for subsistence of Japanese nationals pending repatriation and for financing from such assets expenditures directly related to the repatriation or resettlement of Japanese nationals or other displaced persons in China and provided United Nations' interests which may have been co-mingled with Japanese properties are not confiscated, the United States Government had no objection to Chinese action confiscating on behalf of the Chinese Government Japanese private and public property physically located in Chinese territory formerly occupied by the Japanese which would return to Chinese jurisdiction; that at the time of final settlement of reparations the United States Government would assume the position that Japanese assets confiscated by China should be credited against the Chinese Government's reparation claims; and that, therefore, account should be kept of the value of the property so confiscated.

3. In view of the legal opinions expressed in paragraph 1 above, the position of the United States outlined in paragraph 2 above is held to be applicable to Formosa as well as other Chinese territory formerly occupied by the Japanese which has now returned to Chinese control.

4. Above is for your information. The disposition by the Chinese of Japanese property in Formosa and the national status of residents of Formosa (as distinguished from the operational task of repatriation of Japanese) are considered to be political matters which may best be handled through normal diplomatic channels. This statement is therefore being forwarded by the State Department to the U.S. Embassy in Chungking for appropriate action in consultation with you.

5. Repatriation procedure outlined in second paragraph your CFBX 23362 approved.